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June 2, 2026

Via Electronic Submission (rule-comments@sec.gov)

Vanessa A. Countryman, Secretary
Securities and Exchange Commission
100 F Street, N.E.
Washington, D.C. 20549-1090

Re: Comments in Support of, and Going Beyond, the Commission's Spring 2026 Capital Formation Proposals
File No. S7-2026-17 — Registered Offering Reform (Release No. 33-11418)
File No. S7-2026-18 — Enhancement of Emerging Growth Company Accommodations and Simplification of Filer Status for Reporting Companies (Release No. 33-11419)
File No. S7-2026-15 — Semiannual Reporting (Release No. 33-11414)
File No. CLL-16 — IPO Modernization (Chairman's Comment File opened May 26, 2026)

Dear Ms. Countryman:

We write in strong support of the three rulemaking proposals captioned above and in response to the invitation Chairman Atkins extended in his May 26, 2026 remarks at the Stanford Rock Center for Corporate Governance, where he opened Comment File CLL-16 and asked the bar, bench, and business community for *bold and creative* ideas to modernize the IPO process and reverse the long retreat from the U.S. public markets.(1) We write together, having logged more than seventy years between us advising founders, boards, underwriters, and investors on capital formation; one of us currently in Silicon Valley, the other currently in Chicago. The Chairman has the diagnosis right, and the May proposals are the most serious response to that diagnosis in twenty years. We support every one of them, and we urge the Commission to go further.

We will file a separate letter, before its comment file closes, in support of the Commission's May 29, 2026 proposal to rescind the 2024 climate-related disclosure rules.(2) For the reasons set out in that release, those rules exceeded the Commission's statutory authority and imposed enormous costs unjustified by any material informational benefit. Their rescission is consistent with the broader return to economic materiality that the Chairman has been calling for in his “back to basics” approach to SEC rulemaking and enforcement, and we will support it on the record.

Our position in this letter is simple. We support every measure the Commission has proposed that limits required disclosure to what is material to the reasonable investor, reduces the burdens of being a public company, and re-opens the on-ramp to the public markets. We also believe that, collectively, the May proposals do not go far enough. Those proposals, if adopted, will lower the cost of *being* public. The Commission also must confront, head-on, the reasons companies decline to *become* public. Those reasons reduce to three: the gun-jumping rules, the litigation system, and a private-market alternative that has no limits and is opaque. Each can be addressed. We explain how below.

The facts are stark. The number of U.S.-listed domestic public companies peaked above 8,000 in the mid-1990s and stands at roughly 4,000 today, a decline Chairman Atkins himself has put at approximately 40 percent.(3) The companies that remain are extraordinarily concentrated. At the end of 2025, seven companies (the so-called Magnificent Seven) accounted for approximately 34 percent of the S&P 500's total market capitalization, up from 12 percent in 2015, and roughly 30 percent of the entire U.S. stock market; in 2025 those same seven names produced approximately 42 percent of the S&P 500's total return.(4) Outside those seven, broad swaths of the listed market are starved of research, analyst coverage, and market-making, even as private capital has crossed $8.5 trillion in assets under management and now represents more than a third of global AUM.(5) A capital-formation agenda that ignores those numbers is not serious. The Commission's spring 2026 agenda is serious. It deserves not only adoption but expansion.

I. Support for the Three Pending Rulemaking

We support each of the three pending proposals *in its entirety*. The Registered Offering Reform release (33-11418) is the most consequential modernization of the registered-offering framework since the 2005 Securities Offering Reform that created the well-known seasoned issuer category and the 2007 "baby shelf" rule. The Simplification of Filer Status release (33-11419) finally rationalizes a taxonomy that has grown since Sarbanes-Oxley. The Semiannual Reporting proposal (33-11414) returns to issuers and their boards a choice that should never have been the Commission's to make. We summarize the principal proposed changes in the table below, all of which we support without qualification.

A. Registered Offering Reform (Release 33-11418)

We support all six core components of the proposal: (i) elimination of the Form S-3 one-year seasoning requirement and the $75 million public-float test for unlimited shelf registration, and the corresponding retirement of the "baby shelf" cap in General Instruction I.B.6; (ii) extension of the Enhanced Registration and Communication Benefits to all S-3-eligible exchange-listed issuers, including automatic shelf registration under Rule 462(e), pay-as-you-go filing fees under Rules 456(b) and 457(r), the free writing prospectus under Rule 433, and the freedom to omit selling security holders from a shelf statement under Rule 430B(b); (iii) the conforming amendments to the research safe harbors in Securities Act Rules 137, 138, 139, and 139b, which we discuss in detail in Part II.A below; (iv) the new "qualified purchaser" definition under Section 18(b)(3) preempting state registration and qualification for all registered offerings, listed or not; (v) modernization of Form S-1 to permit both backward and forward incorporation by reference for any reporting issuer; and (vi) the parallel relief for business development companies, closed-end funds, and Rule 482 advertisements. The Commission estimates a 60 percent increase in S-3-eligible issuers and a 200-plus percent increase in those eligible for the full WKSI-style toolkit.(6) Each of those expansions is overdue.

We make one specific recommendation in support of this proposal: the Commission should expressly state in the adopting release that the new "qualified purchaser" definition is intended to preempt state registration and qualification of registered offerings of *all* securities, including those of foreign private issuers conducting registered offerings under Form F-1 or F-3. The blue-sky cost falls hardest on smaller and unlisted offerings. Any ambiguity will be litigated by the state regulators most invested in preserving their jurisdiction.

B. Simplification of Filer Status (Release No. 33-11419)

We support the consolidation of the five overlapping filer categories into two, the elimination of the accelerated filer and smaller reporting company categories, the increase in the large accelerated filer threshold from $700 million to $2 billion in public float, the rolling-average measurement method, the two-year confirmation requirement, the new 60-month seasoning condition that operates as a statutory IPO on-ramp, the elimination of the Section 404(b) auditor attestation for all non-accelerated filers (approximately 81 percent of issuers), the extension of scaled disclosure and emerging-growth-company-style accommodations to that broader population, and the new "small non-accelerated filer" subcategory (total assets of $35 million or less) with extended Form 10-K and 10-Q deadlines.(7) We respectfully suggest two enhancements: (1) the large-accelerated-filer threshold should be set at $10 billion in public float, not $2 billion, because $10 billion is the present-day breaking point between companies that can sustain themselves in the public markets without scaled relief and those that cannot; and (2) the 60-month on-ramp should be lengthened to 120 months, particularly for issuers below the new $10 billion threshold, both to give newly public companies meaningful runway and to reflect that today's median IPO is a Series D or E company that already has the operating maturity that an early-1990s Series B had at listing.

We have heard concerns expressed by certain members of the bar that easing Section 404(b) audits will weaken financial reporting. We disagree. The Section 404(a) management report on internal control remains in place, the auditor's annual financial-statement audit remains in place, the audit committee's independent oversight remains in place, the CEO and CFO certifications under Sections 302 and 906 remain in place, and the antifraud and disclosure-controls regimes remain in place. The marginal information added by the Section 404(b) auditor attestation, at a cost that the Commission's own staff and the SBA Office of Advocacy have repeatedly estimated in the hundreds of thousands to low millions of dollars per company per year, does not justify the deterrent effect that Section 404(b) has imposed on IPO candidates for two decades.

C. Semiannual Reporting (Release No. 33-11414)

We support the proposed Form 10-S as an optional alternative to three Form 10-Qs. The decision whether to report quarterly or semiannually is one that boards, audit committees, and investors are best positioned to make based on a company's industry, business model, and investor expectations, as the Chairman noted at Stanford.(8) We expect that relatively few companies will elect semiannual reporting in the near term, because U.S. equity markets have organized themselves around the quarterly cadence for a generation. Cutting two quarterly reports could increase the cost of capital. But that is a business judgment, not a regulatory one, and we agree with the Commission that the choice should rest where it always should have rested.

II. Additional Reforms the Commission Should Pursue (Comment File CLL-16)

Chairman Atkins's Stanford remarks invited "all ideas" for IPO modernization. We offer the following, in the order of our priority. Several were specifically endorsed by the Chairman; several track the recommendations the SEC Small Business Capital Formation Advisory Committee made at its April 28, 2026 meeting;(9) all are within the Commission's existing rulemaking authority except where we note that legislation will be required.

A. Comprehensive Gun-Jumping Reform

The single most important reform the Commission can now undertake is a top-to-bottom reconstruction of the Securities Act communication regime. Chairman Atkins said exactly this at Stanford, quoting Linda Quinn's 1996 question, "Do we need to continue to register offers?"(10) We submit that the answer is no, or at the very least, not the way the Commission's rules currently demand. The Securities Act’s spider web of pre-filing, waiting-period, and post-effective communication restrictions, layered over by Rules 134, 135, 163, 163A, 164, 168, 169, 172, 173, 405, 433, and the four research safe harbors at 137, 138, 139, and 139b, was last meaningfully reformed in 2005, before the iPhone, before social media, and before the modern testing-the-waters and roadshow practices. It bears no relation to how companies actually communicate with employees, customers, and investors today, and it functions in practice as a tax on going public, payable to securities counsel for the careful avoidance of inadvertent offers.

We urge the Commission to: (1) extend the "safe harbor for communications more than 30 days before filing" in Rule 163A to all reporting and non-reporting issuers, including IPO issuers, eliminating the 30-day blackout that today silences a company at exactly the moment it most needs to introduce itself to investors; (2) extend the WKSI-only Rule 163 free-writing privilege to all S-3-eligible exchange-listed issuers, as a logical companion to the present proposal's extension of the other Enhanced Registration and Communication Benefits; (3) eliminate the Section 5(c) prohibition on offers before the filing of a registration statement entirely for issuers that have publicly announced an intention to conduct a registered offering, replacing it with an antifraud-based regime that polices misleading communications without policing the existence of communications; (4) generalize "testing the waters" under Securities Act Rule 241 and Section 5(d) to all issuers, regardless of EGC status, and to all investors, not only QIBs and accredited investors; (5) expressly permit reporting issuers to publish forward-looking statements, including projections, in registered offerings, subject to the same antifraud guardrails that govern ordinary disclosure; and (6) clarify that ordinary-course business communications, including factual product announcements, financial-results press releases, and earnings calls, are not "offers" for purposes of Section 5, regardless of timing relative to a planned registered offering.

We also endorse the gun-jumping reforms suggested by Edwin O’Brien in his April 28 presentation to the SEC Small Business Capital Formation Advisory Committee. While Rule 134 appropriately limits “tombstone” communications, the Commission should consider expanding that safe harbor to permit plain-English summaries of the issuer and the offering, including limited business information, provided that the communications are consistent with the registration statement disclosure. Similarly, in Rule 135, the Commission should consider expanding what is allowed to permit additional context regarding the company and the rationale for the proposed offering. Rule 163A is a safe harbor from the prohibition on pre-filing offers for communications made more than 30 days before the public filing of a registration statement. The Commission should consider reducing that time period to 15 days. Also, the requirement to take reasonable steps to prevent further distribution or publication of these communications should be modernized to reflect the realities of digital and social media where content, once disseminated, cannot practicably be recalled or controlled. Finally, the Rule 169 safe harbor hinges on whether historical or factual information has been "regularly released" and is intended for non-investor audiences. The Commission should consider refocusing that safe harbor on whether the communication was disseminated through an established channel of communication used by the issuer in the ordinary course of business, rather than focusing on the intended audience, recognizing that modern communications are distributed to multiple constituencies. Additionally, the definition of "factual business information" should be expanded to encompass a broader range of operational, strategic, and business updates.

These reforms will not weaken investor protection. Section 17(a) of the Securities Act, Section 10(b) of the Exchange Act, and Rule 10b-5 reach every material misstatement and material omission regardless of how it is communicated. What the current gun-jumping regime polices is not fraud, but truthful content and *form*. Revising this antiquated regime will not let bad actors off the hook. It will enable companies to actually speak to investors during the most consequential disclosure events of their corporate lives.

B. Research and Market-Making for Smaller Public Companies

We strongly support the proposed amendments to the research safe harbors. As we noted in Part I.A, the cross-reference in Rule 139 to Form S-3 and F-3 eligibility, anchored as it has been to the $75 million float, has starved the issuers most in need of research coverage of the safe harbor that would let their own underwriters cover them. Conforming Rule 139 to the expanded Form S-3 will pull the additional 60-plus percent of issuers now becoming S-3-eligible into the safe harbor. We urge the Commission to go further and conform Rule 139 to Form S-3 eligibility regardless of whether the issuer is listed and to remove the requirement under Rule 139(a)(1) that the broker-dealer publish or distribute research "in the regular course of its business," replacing it with a simpler good-faith standard.

Research economics are a separate problem the safe harbors cannot solve. Decimalization in 2001 and the 2003 Global Research Settlement together hollowed out the analyst economics that supported coverage of small-cap and mid-cap issuers. The result is the small-cap research desert that the SEC Small Business Capital Formation Advisory Committee identified again at its April meeting. We urge the Commission to take three additional steps to support research and liquidity for smaller listed companies: (1) reauthorize the small-cap tick-size pilot program of 2016 in expanded form, permitting issuers below a $10 billion public float to elect a 5-cent or 10-cent minimum quotation increment, which the 2016 pilot data showed materially improved displayed liquidity and quoted depth for affected stocks; (2) work with FINRA and the exchanges to develop a market-making support program for small-cap issuers, including reduced trading fees and tighter capital-commitment requirements for designated liquidity providers, perhaps modeled on the NYSE's Designated Market Maker structure; and (3) provide an unambiguous safe harbor under Rules 137 through 139b for issuer-sponsored research, accompanied by clear disclosure of the sponsorship relationship, so that issuers themselves can underwrite the cost of research coverage where the secondary market will not.

The concentration data we cited at the outset of this letter are not an accident. They are what happens when the small-cap research desert, the small-cap liquidity desert, and the regulatory cost of going public combine over twenty years to drive issuers and capital alike into seven names. The Commission cannot reverse that concentration by rulemaking alone, but it can reverse course.

C. Direct Listings: Answering the Chairman's Questions

At Stanford, the Chairman asked three pointed questions about direct listings: whether, following *Slack Technologies, LLC v. Pirani*, 598 U.S. 759 (2023), the market really believes that a Securities Act registration statement continues to offer meaningful investor protection in the direct listing context; whether the Securities Act registration requirement is a hindrance to direct listings; and what other regulatory frictions might be removed.(11) Our answers, in order: no; yes; and several.

The unanimous Supreme Court decision in *Slack* held that a Section 11 plaintiff must trace their shares to the registration statement at issue. In a direct listing, registered and unregistered shares hit the tape simultaneously, and the practical impossibility of tracing means Section 11 claims are largely unavailable. Section 11 has thus become, for direct listings, a strict-liability regime that mostly does not apply, while the burden of preparing the Securities Act registration statement (longer, more detailed, more costly, more lawyered, and more time-consuming than the Exchange Act registration statement covering the same company) continues to apply. That is the worst of both worlds. We urge the Commission to direct the NYSE and Nasdaq to amend their listing standards to permit a direct listing on the basis of an Exchange Act Form 10 registration alone, without a concurrent Securities Act registration statement, with Rule 144 governing resales by pre-listing holders. Antifraud liability under Section 10(b) and Rule 10b-5 will remain available to investors injured by material misstatements. The Securities Act registration statement, in the direct listing context, adds cost without adding protection.

D. Embrace the SPAC as a Second Front Door to the Public Square

For all its excesses in 2020 and 2021, the SPAC is the only on-ramp that lets a private company negotiate its valuation, raise committed capital, and tell a forward-looking story in a single transaction. It should be rehabilitated, not buried. Four changes would do the work. **First**, treat the de-SPAC as the IPO it is, and start the 60-month (or, we hope, 120-month) on-ramp clock at the closing of the business combination, with the full slate of filer-status accommodations available from that date. **Second**, restore a tailored projection safe harbor: the 2024 rules stripped PSLRA protection by redefining SPACs as blank-check companies,(12) leaving the one transaction structure built around projections unable to stand behind them. A safe harbor conditioned on disclosed assumptions, a reasonable basis, and meaningful cautionary language would solve that problem without inviting the 2020-2021 abuses. **Third**, align the sponsor with the public shareholders by tying the sponsor's "promote" to long-term post-combination performance through forfeiture and vesting mechanics, rather than to mere deal completion. **Fourth**, require that the dilution and redemption math be displayed plainly on the cover of the de-SPAC proxy and prospectus, so that retail investors understand what they are buying.

E. Reform Litigation Exposure Through Expanded Safe Harbors

The cost of "strike suits" is among the strongest reasons companies decline to go public, and it is the half of the problem that the SEC's May proposals leave largely alone. The PSLRA safe harbor for forward-looking statements at Securities Act Section 27A and Exchange Act Section 21E protects seasoned issuers that identify their projections as forward-looking and pair them with meaningful cautionary language. But

Section 27A(b)(2)(D) expressly excludes statements made in connection with an IPO, and Section 27A(b)(1)(E) excludes statements made by issuers of "blank check" securities. The very companies most in need of room to describe their future are the only ones the safe harbor will not protect.

We acknowledge that closing those gaps will require legislation. We urge the Commission, in the meantime, to use its rulemaking authority to do everything within its power: codify the judge-made "bespeaks caution" doctrine in a Commission rule; create an express due-diligence safe harbor under Section 11(b)(3) for forward-looking statements made in good faith with a reasonable basis and meaningful cautionary disclosure; and confirm, through interpretive guidance and *amicus* participation in pending cases, that federal-forum-selection provisions for 1933 Act claims are valid under *Cyan, Inc. v. Beaver County Employees Retirement Fund*, 138 S. Ct. 1061 (2018), and *Salzberg v. Sciabacucchi*, 227 A.3d 102 (Del. 2020), so that a single registered offering is not subjected to parallel proceedings in multiple state courts. The Commission should also, in cooperation with Congress, support legislation that would extend the PSLRA forward-looking-statement safe harbor to IPOs and de-SPACs on the same guardrails the statute already supplies for seasoned issuers. Safe harbors are not immunity, and fraud remains fraud. Safe harbors are the line between honest forecasting and being sued for the act of forecasting.

F. Return to Economic Materiality in Required Disclosure

The Chairman is correct that the Commission's disclosure regime should reflect, in his words, the minimum effective dose of regulation necessary to elicit information that is material to a reasonable investor.(8) The accreted bulk of Regulation S-K is the burden on issuers, not the cadence at which it is filed. The proposed climate-disclosure rescission is one step toward “reasonable investor” materiality. Several more should follow. We urge the Commission to: (1) rescind the conflict-minerals rule and Form SD; (2) rescind or substantially scale back Item 402(v) pay-versus-performance disclosure, which the Commission's own economic analysis at adoption acknowledged would impose substantial costs for limited investor benefit; (3) rescind the human-capital disclosure rule of 2020 to the extent it now operates in practice as a mandate for disclosures investors did not request and on which no reasonable-investor materiality standard has been articulated; (4) revisit the cybersecurity disclosure rule of 2023, particularly the four-business-day Form 8-K incident-reporting requirement, which conflicts with active law-enforcement investigations and provides a roadmap for follow-on attackers; and (5) commit to an ongoing program of Regulation S-K and Regulation S-X review against the materiality standard articulated in *TSC Industries v. Northway*, 426 U.S. 438 (1976), and *Basic Inc. v. Levinson*, 485 U.S. 224 (1988), with the presumption that disclosures that have not produced a meaningful market response in five years should be sunset.

G. Tie Disclosure to Capital Raised; Restore the 500-Holder Trigger

A company that has raised one billion dollars privately is an enterprise of public consequence and should file audited financial statements with the SEC. A capital-raised disclosure trigger catches the shadow-public company that a restored 500-record-holder test would miss, because that company is held through a handful of large private funds, each counted as a single holder. The disclosure should be calibrated, not punitive: rather than the officer-by-officer pay tables that Item 402 requires, large private companies could report senior-management compensation in the aggregate, as much of Europe does, giving investors the total cost of the leadership team without the individualized exposure that today's pay tables produce.

Separately, we urge Congress, with the Commission's support, to restore the pre-2012 Section 12(g) trigger of 500 record holders. The JOBS Act lifted that threshold to 2,000 holders (or 500 non-accredited), excluded holders who received securities under an employee compensation plan, and let companies amass thousands of beneficial owners and hundreds of billions of dollars in value while staying entirely dark.(13) Google in 2004 and Facebook in 2012 went public because the 500-holder rule made staying private impossible at scale. That rule reached the right answer; its statutory replacement has not.

H. Open the Public Markets Wider for Foreign Issuers

The one constituency conspicuously absent from the May 19 proposals is the foreign private issuer. By their terms, those proposals do not extend the new Form S-3 freedoms, the Enhanced Registration and Communication Benefits, or the scaled filer-status accommodations to foreign private issuers, save at the margins, and the new Section 18(b)(3) blue-sky preemption is the principal cross-cutting benefit that will reach FPI registered offerings. The Commission has put the broader FPI question on a separate track tied to its June 2025 Concept Release on Foreign Private Issuer Eligibility.(14) We urge the Commission to resolve that separate review in favor of capital formation rather than in favor of narrowing eligibility.

There was a time when the United States was where the world's most ambitious companies came to go public. No longer. The U.S. share of the world's IPOs by number fell from roughly 27 percent in the 1990s to 12 percent in the 2000s, and its share of worldwide IPO proceeds from about 30 percent to 21 percent, even as the U.S. share of global output edged up. Among smaller firms the retreat was steeper still: the U.S. share of small-firm IPOs worldwide fell from 31 percent to 5 percent.(15) By 2012 the United States had more than 5,000 fewer listed companies than its size, financial development, and shareholder protections would predict, a listing gap that by 2023 left the United States with roughly half as many listed firms per capita as other developed economies.(16) Put Form F-3 on the same footing as Form S-3. Extend the on-ramp and the communication benefits to exchange-listed foreign issuers. Resolve the eligibility review in favor of drawing the world's best companies back to U.S. markets, not in favor of turning them away.

III. Conclusion

The Atkins Commission has the diagnosis right, and for the first time in twenty years the Commission has both the will and the technical expertise to act on it. The three rulemaking proceedings initiated by the Commission this spring deserve adoption substantially as proposed. The additional reforms we describe in Part II above are the work that remains. We believe that the Commission has the statutory authority to undertake most of it on its own. Where legislation is required (extending the PSLRA safe harbor to IPOs, restoring the 500-holder Section 12(g) trigger), the Commission should support that legislation publicly and on the record.

The public markets do not need another coat of paint. They need to be rebuilt. This Commission has assembled a senior staff with the prior experience required to see the problems as issuers do and to act on them so as to make IPOs great again. We are grateful for the Chairman's leadership and for the Commission's and staff's attention to these comments.

Respectfully submitted,

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The views expressed in this letter are the authors' own and not those of Foley & Lardner LLP or of the SEC Investor Advisory Committee.

Endnotes

1. Chairman Paul S. Atkins, “Remarks at the Stanford Rock Center for Corporate Governance” (May 26, 2026), available at https://www.sec.gov/newsroom/speeches-statements/atkins-052626-remarks-stanford-rock-center-corporate-governance. The Chairman opened Comment File CLL-16 in connection with those remarks, with a preferred submission deadline of July 27, 2026.

2. Rescission of Climate-Related Disclosure Rules, Release No. 33-11421; 34-105572 (May 29, 2026), File No. S7-2026-19, available at https://www.sec.gov/files/rules/proposed/2026/33-11421.pdf. Comments are due 60 days after Federal Register publication. The authors will file a separate letter in support of the proposed rescission.

3. Testimony of Chairman Paul S. Atkins before the House Financial Services Committee (Feb. 11, 2026). U.S.-listed domestic companies peaked above 8,000 in 1996 per World Bank data compiled in "Looking Behind the Declining Number of Public Companies" in the Harvard Law School Forum on Corporate Governance (May 18, 2017). The count today is approximately 4,000 per the Center for Research in Security Prices, as reported by CNN Business (June 9, 2023).

4. S&P Dow Jones Indices and Slickcharts data as of December 31, 2025 (Magnificent Seven, which are Alphabet, Amazon, Apple, Meta Platforms, Microsoft, Nvidia, and Tesla, represented approximately 34.3% of the S&P 500 by market capitalization, up from 12.3% in December 2015); Voronoi/Bloomberg data (August 8, 2025, approximately 30% of the total U.S. stock market); WWM Investments analysis (the Magnificent Seven contributed approximately 42% of the S&P 500's total return in 2025).

5. McKinsey & Company, Global Private Markets Report 2026 (private-capital AUM approximately $8.5 trillion in 2025; average buyout holding period exceeding 6.5 years); McKinsey & Company, Global Private Markets Report 2025 (private vehicles representing approximately 35% of global AUM).

6. “Registered Offering Reform,” Release No. 33-11418 (May 19, 2026), 91 FR 31022 (May 26, 2026), File No. S7-2026-17, available at https://www.sec.gov/files/rules/proposed/2026/33-11418.pdf. This release proposes to amend rules and forms across 17 CFR Parts 210, 229, 230, 232, 239, 240, and 249, including Securities Act Rules 137, 138, 139, 139b, 415, 430B, 433, 456, 457, 462, and addresses the new Section 18(b)(3) qualified-purchaser definition.

7. “Enhancement of Emerging Growth Company Accommodations and Simplification of Filer Status for Reporting Companies,” Release No. 33-11419 (May 19, 2026), 91 FR 30086 (May 21, 2026), File No. S7-2026-18, available at https://www.sec.gov/files/rules/proposed/2026/33-11419.pdf. This release proposes to amend Regulation S-X Rules 2-02 and 8-01 through 8-08, Regulation S-K Items 10, 101, 201, 302, 303, 305, 308, 402, 404, 407, and 504, and Exchange Act Rules 10A-3, 10C-1, 12b-2, 14a-20, and 14a-21. Per Table 2, large accelerated filers presently constitute 35.4% of registrants and carry 98.8% of total public float; under the proposal they would fall to 19.2% of registrants while still representing 93.5% of float, with non-accelerated filers at 80.8% and small non-accelerated filers (assets of $35 million or less in each of the two most recent years) at 17.9%. Per Table 1, current filing deadlines are 90/45 days for non-accelerated, 75/40 days for accelerated, and 60/40 days for large accelerated filers (Form 10-K / Form 10-Q).

8. Atkins Stanford Remarks, supra note 1 ("Removing the SEC's thumb from the scale, as we proposed, affords companies regulatory flexibility based on their industry, business model, and investor expectations."; "Guided by materiality as our north star, I would like to see the Commission's disclosure regime reflect the minimum effective dose of regulation necessary to elicit information that is material to a reasonable investor.").

9. SEC Small Business Capital Formation Advisory Committee, Meeting Materials and Webcast (Apr. 28, 2026). At that meeting, members observed that the U.S. IPO decline accelerated after 2013, that small-cap research economics require structural support, that litigation reform is essential to IPO market repair, and that a return to economic materiality should anchor the Commission's disclosure agenda. We agree.

10. Linda C. Quinn, “Reforming the Securities Act of 1933: A Conceptual Framework,” 10 Insights 25 (Jan. 1996), available at https://www.sec.gov/info/smallbus/acsec/reformingsa33.pdf, quoted in Atkins Stanford Remarks, supra note 1.

11. Atkins Stanford Remarks, supra note 1 ("following the 2023 Supreme Court decision, does the market really believe that a Securities Act registration statement continues to offer meaningful investor protections in the direct listing context?"). The decision he was referring to is Slack Technologies, LLC v. Pirani, 598 U.S. 759 (2023).

12. “Special Purpose Acquisition Companies, Shell Companies, and Projections,” Release No. 33-11265 (Jan. 24, 2024), amended the definition of "blank check company" for PSLRA purposes to make the forward-looking-statement safe harbor unavailable to SPACs and to de-SPAC projections, required the private target company to be a co-registrant on the de-SPAC registration statement, deemed a business combination with a reporting shell company a "sale" of securities, and added Subpart 1600 of Regulation S-K.

13. Section 501 of the Jumpstart Our Business Startups Act (Pub. L. 112-106, 126 Stat. 306, 2012) amended Section 12(g)(1) of the Exchange Act to raise the holder-of-record threshold from 500 to 2,000 (or 500 non-accredited) and excluded holders who received securities under an employee compensation plan in transactions exempted from registration. The threshold is statutory and cannot be lowered by Commission rulemaking alone.

14. Release No. 33-11376 (June 2025), reconsidering the criteria for FPI status under the federal securities laws.

15. Craig Doidge, G. Andrew Karolyi & Rene M. Stulz, “The U.S. Left Behind? Financial Globalization and the Rise of IPOs Outside the U.S.,” 110 J. Fin. Econ. 546 (2013); NBER Working Paper No. 16916 (Mar. 2011).

16. Craig Doidge, G. Andrew Karolyi & Rene M. Stulz, “The U.S. Listing Gap,” 123 J. Fin. Econ. 464 (2017) (by 2012, the United States had more than 5,000 fewer listed firms than predicted by its size, economic and financial development, and shareholder protections), updated in Craig Doidge, G. Andrew Karolyi & Rene M. Stulz, “Are There Too Few Publicly Listed Firms in the US?” Fin. Rev. (2025) (gap persisting through 2023, with the United States at approximately half the listed-firms-per-capita ratio of other developed economies).